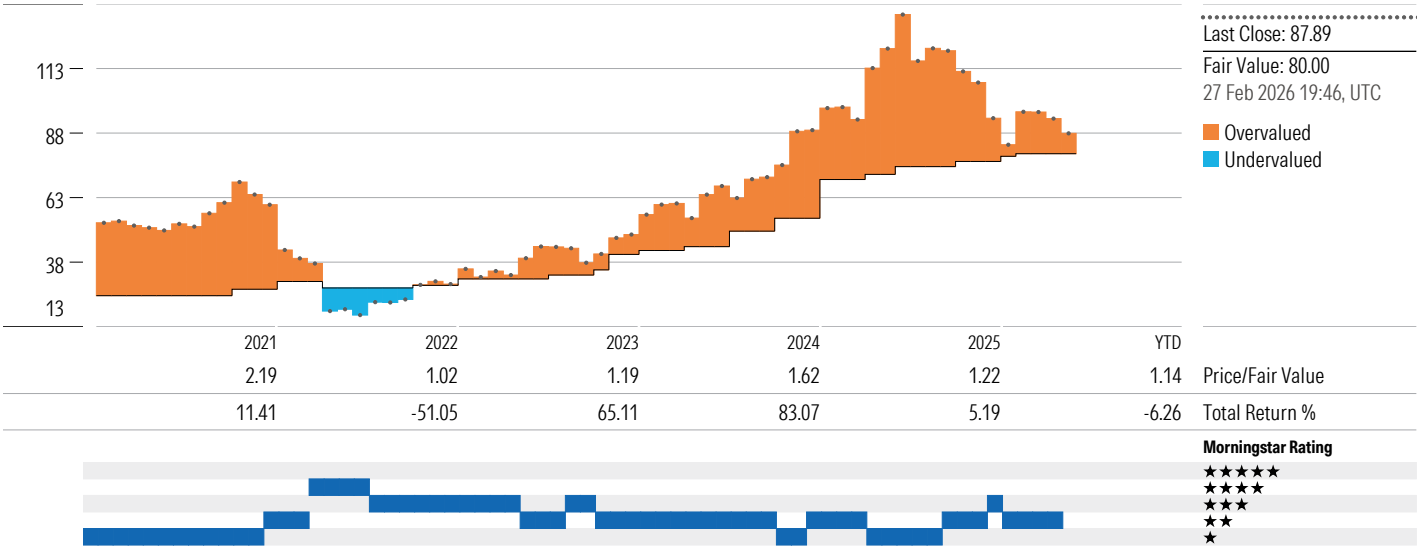
Netflix Inc NFLX ★★★ 5 May 2026 22:17, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
87.89 USD 5 May 2026	80.00 USD 28 Feb 2026 01:46, UTC	1.14	370.09 USD Bil 5 May 2026	Narrow	Large Growth	High	Exemplary	5 May 2026 05:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD	
	2.19	1.02	1.19	1.62	1.22	1.14	Price/Fair Value
	11.41	-51.05	65.11	83.07	5.19	-6.26	Total Return %

Total Return % as of 05 May 2026. Last Close as of 05 May 2026. Fair Value as of 27 Feb 2026 19:46, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Netflix Earnings: No Guidance Raise, Light Q2 Margin Forecast, and International Slowdown Disappoint

Analyst Note Matthew Dolgin, CFA, Senior Equity Analyst, 17 Apr 2026

Netflix's first-quarter sales and margins exceeded its guidance, and it said the year is tracking its outlook. However, the market likely hoped for increased full-year guidance, given that the March price hikes came as a surprise, ostensibly enabled once the Warner Bros. acquisition fell through.

Why it matters: We believe shares have been priced for midteens annual sales growth. The 2026 outlook of 11%-13% organic growth was fine when it seemed the next US price increase would occur around year-end, consistent with the historical cadence. Growth acceleration in 2027 now seems less likely.

- Generating more revenue per user must be the primary growth driver, in our view, because Netflix has largely saturated the subscriber market in the US and many of the highest-priced international countries. The US price increase came only 14 months after the previous one and exceeded 10%.
- We don't think Netflix can raise prices at these rates annually, but think that's what it will take to maintain low-teens growth. The advertising business remains small, and its contribution must offset any subscriber mix shift to lower-priced plans.

The bottom line: We maintain our $80 fair value estimate, which reflects these views. We forecast 10% average sales growth through 2030. Netflix is the only firm we cover with a moat (narrow) based on a streaming business and is worth owning at an appropriate price, which it is now approaching.

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Sector
Communication Services

Industry
Entertainment

Business Description

Netflix's relatively simple business model involves only one business, its streaming service. It has the biggest television entertainment subscriber base in both the United States and the collective international market, with more than 300 million subscribers globally. Netflix has exposure to nearly the entire global population outside of China. The firm has traditionally avoided a regular slate of live programming or sports content, instead focusing on on-demand access to episodic television, movies, and documentaries. The firm introduced ad-supported subscription plans in 2022, giving the firm exposure to the advertising market in addition to the subscription fees that have historically accounted for nearly all its revenue.

Key stats: Adjusted for currency fluctuations and hedging, total sales growth was 13% year over year, including only 12% in international markets, which had been growing in the high teens.

- The firm called out several strong markets in Asia and got an additional tailwind from tremendous success in Japan with the World Baseball Classic. Still, Asia-Pacific grew only 20% year over year—the bottom of its recent range.
- Currency-neutral sales in Europe, the Middle East, and Africa grew only 8.5% year over year, well off the recent midteens rate.

Business Strategy & Outlook Matthew Dolgin, CFA, Senior Equity Analyst, 27 Feb 2026

Netflix is the leading subscription streaming television platform globally and enjoys the economic benefits of this scale. We expect this position to persist. Netflix did not need Warner Bros., and at the price to which it agreed, we thought it would be value-destructive.

Netflix's superiority relative to peers is due to several factors, in our view. It has avoided the temptation to bid for a regular slate of major live sports programming, which has been wise considering our view that it hasn't needed help attracting audiences and would've had to overpay to attract major sports. It has also chosen to grow organically from the ground up, building its business with no head start in content ownership or a foothold in the traditional media business. These decisions now give Netflix the advantage of not having to manage a declining legacy business, and it isn't burdened by expensive sports contracts or a subscriber base dependent on retaining sports rights.

Netflix's streaming dominance is under greater threat than when it was establishing its position and charging relatively low prices. With many subscription streaming platforms offering popular content, we don't believe consumers will have the financial willingness or ability to subscribe to all of them, meaning Netflix will need to continue offering a robust lineup of attractive programming to maintain its position. This will require significant investment and careful consideration of pricing changes. Despite our view that Netflix will remain at the top, it will have to compete more than it has historically.

We still expect an impressive growth trajectory. Assuming no major misfires that lead to a lack of attractive programming over an extended period, we expect Netflix's subscriber base to be sticky, and we think the cash it generates will allow it to produce many new series and movies each year, giving ample opportunities for customers to find something they like. We also see further opportunities for penetration in international markets.

Bulls Say Matthew Dolgin, CFA, Senior Equity Analyst, 27 Feb 2026

- Netflix has already attracted a massive customer base and level of profitability. This advantage versus competitors makes it more likely a virtuous cycle can continue, with Netflix securing more content that attracts and holds more subscribers.

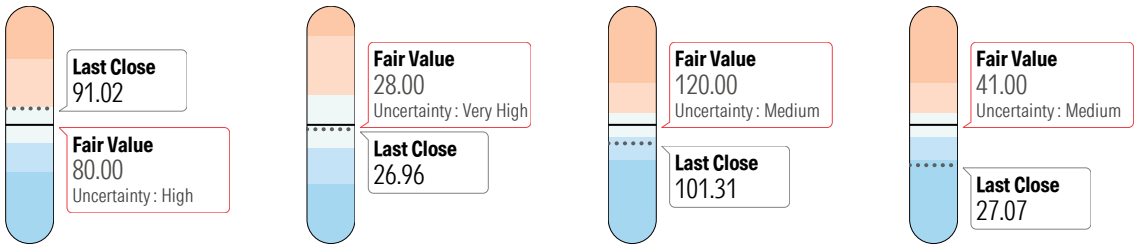
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Competitors



	Netflix Inc NFLX	Warner Bros. D...ares - Class A WBD	The Walt Disney Co DIS	Comcast Corp Class A CMCSA
Economic Moat	Narrow	None	Wide	Narrow
Currency	USD	USD	USD	USD
Fair Value	80.00 4 May 2026 16:21, UTC	28.00 4 May 2026 16:23, UTC	120.00 4 May 2026 16:19, UTC	41.00 4 May 2026 16:22, UTC
1-Star Price	124.00	49.00	162.00	55.35
5-Star Price	48.00	14.00	84.00	28.70
Assessment	Overvalued 4 May 2026	Fairly Valued 4 May 2026	Undervalued 4 May 2026	Undervalued 4 May 2026
Morningstar Rating	★★★5 May 2026 22:17, UTC	★★★4 May 2026 05:00, UTC	★★★★4 May 2026 05:00, UTC	★★★★★4 May 2026 05:00, UTC
Analyst	Matthew Dolgin, Senior Equity Analyst	Matthew Dolgin, Senior Equity Analyst	Matthew Dolgin, Senior Equity Analyst	Michael Hodel, Director
Capital Allocation	Exemplary	Standard	Standard	Standard
Price/Fair Value	1.14	0.96	0.84	0.66
Price/Sales	8.49	1.83	1.94	0.80
Price/Book	12.46	1.86	1.69	1.10
Price/Earning	29.71	93.00	15.16	5.34
Dividend Yield	0.00%	0.00%	1.23%	4.88%
Market Cap	370.09 Bil	68.29 Bil	178.00 Bil	94.52 Bil
52-Week Range	75.01—134.12	8.06—30.00	89.61—124.69	24.12—34.34
Investment Style	Large Growth	Mid Value	Large Value	Large Value

- Advertising-supported subscriptions open Netflix to a wider pool of subscribers and a major new source of revenue.
- Netflix has significant room to grow in international markets where it has already shown promise with local content.

Bears Say Matthew Dolgin, CFA, Senior Equity Analyst, 27 Feb 2026

- Netflix faces competition that it has not had to deal with in the past. As consumers have more options for quality streaming services, it's more likely that Netflix could get cut out of some consumer budgets.
- Netflix's US business is mature, with very high penetration of total households, meaning price increases may need to be a bigger component of future growth.
- Netflix will need to spend more on content—through sports rights and local international investment—to increase membership and prices at rates it has historically, when it worked from a lower base and with less competition.

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Economic Moat Matthew Dolgin, CFA, Senior Equity Analyst, 19 Feb 2026

We assign Netflix a narrow moat rating based on intangible assets. Netflix has two advantages that set it apart from streaming-video peers. First, it has no legacy assets that are losing value as society transitions to new ways of consuming video entertainment at home, allowing it to put its full effort behind its core streaming offering. Second, it was the pioneer in its industry, providing it a big head start in accumulating subscribers and moving past the huge initial cash burn necessary to build a successful streaming service. This subscriber base was critical in creating a virtuous cycle for Netflix that we doubt can be attained by more than a small number of competitors.

Ultimately, having a successful streaming service is all about offering customers a continuing depth of appealing content at a price point that they deem reasonable. The streaming industry is not necessarily a zero-sum game, as customers can always add incremental subscriptions, but consumer budgets are finite, so, in practice, we expect only a handful of streaming services to consistently maintain very large customer bases, which we think will be necessary to continue funding content investments.

Securing content requires either tens of billions of dollars of cash every year or, to a lesser extent, existing ownership of content that is enduring and can continue to attract subscribers. With access to enough cash, any enterprise could compete for the best content, but it takes a continuing stream of cash for a provider to have the best odds of having attractive content at any given time. We assume that any rational competitor will eventually require sufficient revenue streams from its operations to continue funding content creation at scale.

Netflix had the luxury of overcoming its cash burn—and achieving excess economic returns—during a time when few competitors kept it from expanding its subscriber base. More recent and future competitors must attempt to reach scale while offering a compelling alternative to numerous other streaming choices. Before they're earning much revenue, they'll have to undertake the same or higher marketing and platform expenses Netflix had, but they'll also need premier, first-run content—which wasn't the case when Netflix began—requiring higher content spending. They'll also be doing this while competing with Netflix.

Netflix now has the biggest subscriber base, by a wide margin relative to any competitor in the US and internationally. The subscriber base that Netflix began accumulating before competitors entered is the firm's most important intangible asset, and we believe consumer habits and the data they continually provide through their viewing choices enable Netflix to feed them content they're interested in, boosting engagement and keeping customers loyal. Cash generated from loyal Netflix subscribers then gives the company the means to continually invest heavily in content. Programming choices have yielded many very popular hits, which have then drawn even more subscribers. The additional subscribers have further increased profits, allowing an additional portion to go toward incrementally more content

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spending, allowing Netflix to attract premier talent and take many shots at creating hits. This is the virtuous cycle.

In addition, the eyeballs Netflix has attracted, along with inertia and satisfaction among customers, result in some shows becoming hits in large part because they're on the Netflix platform. We believe many consumers go to Netflix to determine what they want to watch rather than go to Netflix as the destination for what they're already seeking. Numerous examples exist of television shows that debuted elsewhere but were not particularly successful until they went to Netflix, where they became hits, often years after their initial broadcasts. We believe this is another aspect of the Netflix platform that creates an advantage in both drawing talent and programming and making customers reticent to cancel a Netflix. While any given movie or television show has the potential to be a bust, the ability for Netflix to continue funding a large menu of options makes us think this is unlikely the firm has an extended dry run without any attractive new options for subscribers.

Fair Value and Profit Drivers Matthew Dolgin, CFA, Senior Equity Analyst, 27 Feb 2026

Our fair value estimate for Netflix is $80, implying a P/E multiple of 25 and an EV/EBITDA multiple of 20 times our 2026 projections.

We project a compound annual revenue growth rate of about 10% through 2030, followed by mid-single-digit growth for the past five years of our 10-year forecast. We expect international markets to lead this growth, given the opportunities they still have to add new members. In the mature, highly penetrated US and Canadian markets, we expect far less new member growth. The mid- to high-single-digit average revenue growth that we project throughout our forecast in UCAN is led by price increases and advertising revenue.

Penetration rates in Europe, the Middle East, and Africa, Latin America, and Asia-Pacific significantly trail those in the US, so we expect significant room for member growth. As Netflix continues to create more country-specific content and find the right pricing strategy, we believe penetration can go higher, though we don't expect most countries to get close to the penetration rates in UCAN. We believe subscriber growth in APAC can average a low-double-digit rate through 2030, driven by India, while we project the Latin America and EMEA subscriber bases to grow in the mid-single-digits annually. We don't expect ARM growth to be as strong, mostly due to a greater mix from countries that feature lower pricing, but we still project a low-single-digit annual rate as subscription prices rise and advertising revenue takes hold. We project average revenue growth in EMEA and Latin America of about 10% annually through 2030 and 8% through 2035, while we project APAC to be the fastest-growing region, averaging more than 16% through 2030 and 11% through 2035.

Netflix's biggest cost is content spending. We project almost $20 billion in spending in 2026 and mid- to high-single-digit growth each year thereafter. Content amortization, which is the figure reflected in the

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income statement, should grow at a similar rate. However, we believe there will be operating leverage on this spending and other costs, resulting in operating margins rising from 32% in 2025 to 36%-37% by the end of the decade. With sales growing faster than content spending and other costs, we expect free cash flow to grow from $9.5 billion in 2025 to almost $20 billion by 2030.

Risk and Uncertainty Matthew Dolgin, CFA, Senior Equity Analyst, 27 Feb 2026

Our Morningstar Uncertainty Rating for Netflix is High. Our rating is largely based upon the evolving streaming media landscape and the growing competition Netflix faces, including from free streaming platforms.

In our view, Netflix's tremendous success is due, in large part, to it being a first mover in the streaming industry and successfully adapting its business model to where the industry was going, while its media peers were largely still focusing on their legacy businesses.

The landscape has now changed, as nearly every major media company is promoting its own stand-alone streaming service. Also, Netflix is more focused on profitability and cash generation that it was in its infancy, meaning prices for consumers have risen substantially over the past several years. Customers now have other choices for streaming programming, and the price they pay for Netflix is no longer an afterthought. As the streaming businesses of competitors mature, they may bundle their services together—with or without Netflix—or they may offer their services as add-ons for pay TV subscribers who receive their linear channels, a foothold Netflix doesn't currently have. These factors make it possible that Netflix will have a tougher time growing its subscriber base or generating as much revenue per subscriber.

Other factors that bring greater uncertainty include the nascent ad-supported service, which requires the firm to successfully build an advertising business that makes up for the lower price these subscribers pay, and Netflix's flirtation with major live sports and the potential for more regular-season games, which may promote customer stickiness but typically come at a very high price.

From an ESG perspective, we believe potential social issues could carry the greatest risk. The entertainment industry in general has a history of bad behavior regarding issues like sexual assault and harassment and racial and gender discrimination.

Capital Allocation Matthew Dolgin, CFA, Senior Equity Analyst, 27 Feb 2026

We assign Netflix an Exemplary Morningstar Capital Allocation Rating. Our rating is based on our assessment of Netflix's ability to add value through investments in its business and takes into account how the company has managed its balance sheet and capital return policies. We question the wisdom of the firm's decision to buy Warner Bros., but the deal did not go through, and we don't believe our opposing view warrants a downgrade to our capital allocation rating, given the leadership team has a track record that warrants some benefit of the doubt.

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Management has continuously been a step ahead and found enormous success. It had the foresight to see that the success it found in the DVD-by-mail subscription business would be fleeting, as technology and video consumption evolved, and it was willing to go all in to move to an entirely different business model. At a time when capital was cheap and equity investors were very willing to fund money-losing enterprises with hopes of a future payoff, Netflix management took advantage. With a prudent mixture of equity and low-interest-rate debt, Netflix transitioned its business, funding it through years of negative cash flow to build an industry-leading streaming customer base, expand to numerous international markets, and rev up its production capabilities for original content.

But even while cash losses were acceptable and the foremost priority was luring streaming subscribers, we commend management for the judicious decisions it made regarding where to best allocate capital. Notably, we think it has been smart to stay out of the race for major sports packages. Bidding obscene amounts for sports rights would have certainly cemented Netflix's place on the media map and drawn subscribers, but we think it would've damped potential profitability. Similarly, the firm historically avoided any splashy acquisitions that could have accelerated its standing as a top media player but may have gotten the firm into businesses that would be less lucrative in the future (traditional media networks) than the past. Instead, Netflix built its streaming business gradually and organically while ultimately sunsetting the DVD-by-mail business.

And when the firm realized its business could be further enhanced by embracing advertising, it was flexible enough to explore this new path and measured enough to do it in a way that led to further opportunity and success rather than hurting its existing ad-free business.

The choices Netflix made have paid off. Apart from having the most ubiquitous subscription streaming platform, the firm is far ahead of peers in its ability to generate significant cash through the streaming business model. Management has now shifted to becoming more prudent regarding cash generation and spending while still striking a balance and allocating large amounts of capital to procuring new content each year.

Netflix stands in good financial shape. At the end of 2025, the firm had $9 billion in cash versus $15 billion in debt and was poised to continue generating more cash each year despite growing content costs. The firm should no longer need to raise additional capital as it deepens its subscriber base in international markets and continues creating and licensing content.

Netflix decisions surrounding returning cash to shareholders are mixed, in our view. Wisely, Netflix never paid a dividend or repurchased shares when capital was best allocated to growing its business. As the business matured, the firm instituted a share repurchase program. But this program was implemented without regard to the stock price, despite the shares trading at historically high multiples even as the business had matured. The firm repurchased many shares at high prices. We'd rather see a dividend and have the firm be more discriminating about when to repurchase shares.

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Analyst Notes Archive

Netflix: Price Increases Come Sooner Than Expected but Are Consistent With Our Outlook Matthew Dolgin, CFA,Senior Equity Analyst,26 Mar 2026

Netflix announced on March 26 that it's increasing prices across all US plans and tiers. Why it matters: With our view that subscriber additions will contribute far less to Netflix's top-line growth than in the past due to mature US market penetration, we consider price increases the foremost requirement for Netflix to maintain double-digit top-line growth. After Netflix raised US prices in January 2025, we didn't expect the next round of increases to come before the fall. This increase likely pulls forward our sales forecast without materially changing average growth over the next two years. When it issued its 2026 sales guidance, Netflix said price increases were incorporated, but we suspect the subsequent disintegration of its Warner Bros. acquisition altered the timing, meaning it may raise its 2026 outlook when it reports earnings next month. The bottom line: We maintain our $80 fair value estimate and our narrow moat rating. While 2026 sales may be higher than we anticipated, that probably means that our 2027 growth rate is now slightly elevated. In all, timing differences associated with our consistent general outlook have not led us to change our fair value estimate. Between the lines: More important than this price increase is whether Netflix now intends to increase prices annually rather than the 18-24 month cadence we've built in. A belief that Netflix can raise prices by at least $1 annually would make our forecast too bearish. With the standard plan now $20 per month, we still doubt Netflix can maintain an annual pace of increases while also consistently holding subscribers, especially with popular content increasingly being disseminated across more platforms. Another potential risk of raising prices too quickly is a bigger mix shift to ad-supported plans, which will now be $9 per month. A larger ad-supported base bolsters advertising sales opportunities, but those must also make up the $11 per subscriber per month headwind versus ad free.

Paramount: Both Netflix and the Warner Bros. Discovery Board Finally Get It Right Matthew Dolgin, CFA,Senior Equity Analyst,27 Feb 2026

After Warner Bros. Discovery deemed Paramount's revised bid for its company as superior to the one it had in place with Netflix, Netflix declined to exercise its right to match. We therefore expect Warner to officially accept Paramount's offer to buy the whole company for $31 per share. Why it matters: Netflix will receive a $2.8 billion termination fee from Warner, paid by Paramount. Warner shareholders will receive $31 per share in cash for their entire stakes in Warner. If the deal hasn't closed by Oct. 1, 2026, Warner shareholders will receive an $0.25 per share each quarter. This was absolutely the right move for Netflix, in our view. We estimated it was overpaying for Warner's streaming and studios when it had no need to, given its extraordinarily strong business. This is the best outcome for Warner shareholders, in our view, as we've felt that, with a higher likelihood of prompt regulatory approval and uncertainty surrounding the value and risk of the network business they would have retained, the best offer would

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MORNINGSTAR®

Netflix Inc NFLX ★★★ 5 May 2026 22:17, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
87.89 USD 5 May 2026	80.00 USD 28 Feb 2026 01:46, UTC	1.14	370.09 USD Bil 5 May 2026	Narrow	Large Growth	High	Exemplary	5 May 2026 05:00, UTC

have been $30 in cash. The bottom line: We also think this is the best outcome for Paramount. Unlike Netflix, its business could use a shot in the arm and an immediate boost to achieve the greater scale it needs. Also, with the combination of linear networks, it can realize much more cost savings than Netflix can to offset the premium it's paying. We maintain our $28 fair value estimate for Warner, discounting the value we believe they are almost—but not completely—certain to realize within the next year. We intend to raise our fair value estimate for Netflix to $80 from $79 to account for the $2.8 billion it is set to receive. We now think Paramount is likely to complete its acquisition of Warner. We are maintaining our $20 fair value estimate while we work through financial details, and we believe the stock is undervalued. Between the lines: We don't anticipate Paramount will face any regulatory difficulties.

Paramount: Revised Bid for Warner Bros. Discovery Probably Won't Win Board Recommendation

Matthew Dolgin, CFA,Senior Equity Analyst,24 Feb 2026

Paramount revised its offer for Warner Bros. Discovery but did not disclose details. Variety reported the offer would likely be for $32 per share, up from $30. Netflix now has four days to respond and may raise its offer of $27.75 per share, which is for only the streaming and studios businesses. Why it matters: Warner's board felt Netflix's offer was superior, all details considered, to Paramount's offer of $30 for the entire company. We aren't convinced that an additional $2 is enough to allay the board's concerns, but we wouldn't be surprised to see Netflix make a modest adjustment. We expect shareholder lawsuits if Netflix is the ultimate winner, and because the deals are not apples to apples—with the suitors not vying for identical assets and other details surrounding the respective bids requiring discretion—determination of which deal is better will always be subjective. Assuming Netflix doesn't raise its offer by more than Paramount has—a near certainty, in our view—we will still believe the Paramount offer is superior. Our opinion is based on our view that the networks business that Netflix won't acquire is unlikely to be worth more than $3 and has very high risk. The bottom line: We don't believe Netflix will allow this deal to get away for an incremental $2 per share or less, so if the reported offer is accurate, we expect Warner's board to ultimately stick with its Netflix recommendation and put the deal to a shareholder vote on March 20. We maintain that Warner is likely to get acquired—in full or in part—at a value that may exceed $30 per share, and we assign neither Netflix nor Paramount odds of more than 50% of completing a Warner acquisition. Paramount's tender offer will remain outstanding if the board chooses Netflix. Reflecting our view, we maintain our $28 fair value estimate for Warner, $20 for Paramount, and $79 for Netflix.

Warner Bros. Discovery: Acquisition Talks Reopened for Paramount as Vote on Netflix Offer Is Set

Matthew Dolgin, CFA,Senior Equity Analyst,17 Feb 2026

With Netflix's approval, Warner Bros. Discovery has re-engaged in negotiations with Paramount in pursuit of the best deal for shareholders. Talks will remain open through Feb. 23, and Paramount has said that it is willing to improve upon its offer to buy all of Warner for $30 per share in cash. Why it

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matters: Warner maintains that Netflix's offer—$27.75 per share in cash for Warner's streaming and studios businesses only—is superior but is finally entertaining the possibility that Paramount can offer a better deal, following numerous amendments to address Warner's initial concerns. The deals will never be apples to apples, and judgment on which is better will depend on the value assigned to the networks business that Netflix won't acquire and nonmonetary factors, like timeline and likelihood of deal closure and detriment to Warner if its selected deal falls through. We expect Paramount will offer more than $30 per share within the week and that Netflix could potentially respond by increasing its offer. We doubt Paramount will drop its lawsuits if Warner ultimately chooses Netflix, but the subjectivity in choosing between these offers makes success unlikely. The bottom line: We maintain our stance that Warner is likely to be acquired, potentially at a value worth more than $30 per share, and that neither Netflix nor Paramount has a greater than 50% chance of acquiring it. With that backdrop, we maintain our fair value estimates of $79 for Netflix, $20 for Paramount, and $28 for Warner, with only the latter's valuation adjusted for the likely acquisition (and discounted for the time value of money). Our standalone fair value estimate for Warner remains $20. Between the lines: According to Warner, Paramount said it will offer $31 per share in what will still not be a "best and final" offer. Warner still cites other factors that Paramount must address, but at some price, we expect those factors to become secondary to a chance for clearly higher remuneration.

Netflix Earnings: Strong, as Expected; 2026 Guidance Confirms Decelerating Growth Matthew Dolgin, CFA,Senior Equity Analyst,21 Jan 2026

Netflix's fourth-quarter revenue rose 17% year over year (excluding currency tailwinds). For the full year, revenue also increased 17%, and the operating margin expanded 3 percentage points, to 29.5%. Guidance for 2026 is for 11%-13% organic sales growth and 2 percentage points of margin expansion.Why it matters: The material growth slowdown is consistent with our forecast, based on a mature US market. In our view, Netflix needs international markets to grow at a high-teens rate to maintain the midteens average annual growth, but recent results don't support that level. Sales in the US and Canada increased 15% in 2025, but were buttressed by subscriber additions at the end of 2024 and a US price increase last January. We expect a much smaller contribution from new members and pricing in 2026, with a US price increase before the fourth quarter unlikely. Excluding currency, we estimate international sales growth was only 14% in each of the last two quarters. We suspect the vast majority of roughly 25 million new members in 2025 were in international markets. The bottom line: We maintain our forecast, and the time value of money brings our fair value estimate to $79 from $77. With outsize growth expectations no longer priced into its stock, Netflix appears fairly valued. With a narrow moat, it remains the highest-quality of its closest peers, in our view. Key stats: Free cash flow guidance of $11 billion for 2026 was also in line with our estimates, but likely disappointed the market. Cash content spending is expected to rise to nearly $20 billion in 2026, which would be a jump of about 11.5%. This is a good use of cash, in our view. With some costs, including the Brazilian tax issue the firm

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reported last quarter, getting pushed to 2026 from 2025, we don't think cash flow and margin guidance are as disappointing as the market may have initially taken them.

Paramount's Revised Bid Changes Little as Warner Bros. Shareholders Decide If Netflix Bid Is Better

Matthew Dolgin, CFA,Senior Equity Analyst,22 Dec 2025

With a tender offer to Warner Bros. Discovery shareholders outstanding, Paramount revised details of its bid but maintained the value: $30 in cash per share. Larry Ellison is now personally guaranteeing the equity financing, and Paramount will pay Warner $5.8 billion if it cannot complete the deal.Why it matters: Ellison's financial backstop addresses one of the reasons Warner's board endorsed Netflix's offer over Paramount's. However, Warner's board also cited several other reasons for its decision, so we don't anticipate that this Paramount revision will change its recommendation. Shareholders will still be the ones to ultimately decide which offer to take. We doubt the current Paramount amendment will be a determining factor, but it could make a difference at the margins. We hadn't seen financing as a major concern. We estimate that the value of the proposed deals is extremely similar and that both face regulatory challenges that can ultimately be overcome. The certainty of the cash offer and perception that it will face less federal regulatory pushback in the US has led us to prefer the Paramount bid.The bottom line: We maintain our fair value estimates of $28 for Warner, $20 for Paramount Skydance, and $77 for Netflix. We still believe that Warner is likely to be acquired, Paramount is more likely to win, and the price may be more than $30 per share. We don't expect the Paramount amendment to cause Netflix to revise its offer. While tendering shares at the current offer is best for Warner shareholders, in our view, we think Paramount may raise its bid if it cannot secure enough shares by its Jan. 21 deadline. However, if not enough shares are tendered and Paramount doesn't sweeten its offer, shareholders are left with the Netflix deal, entailing a slightly longer and potentially more difficult regulatory path, as well as dependence on the value of the Netflix stock price and Discovery Global shares they will retain.

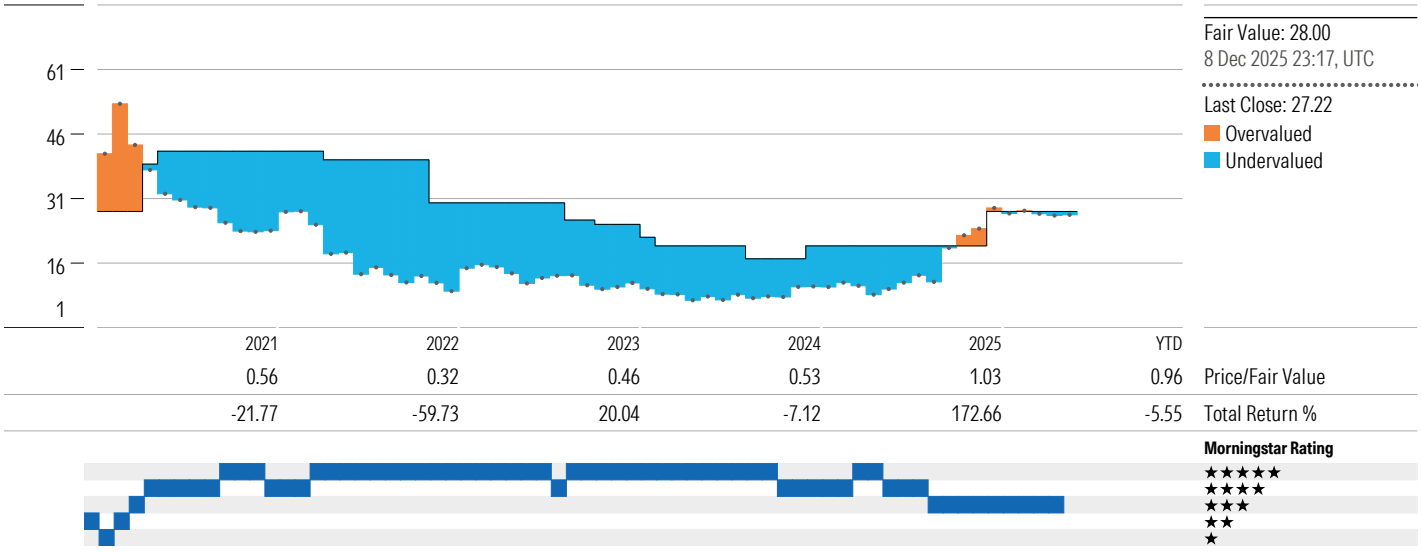
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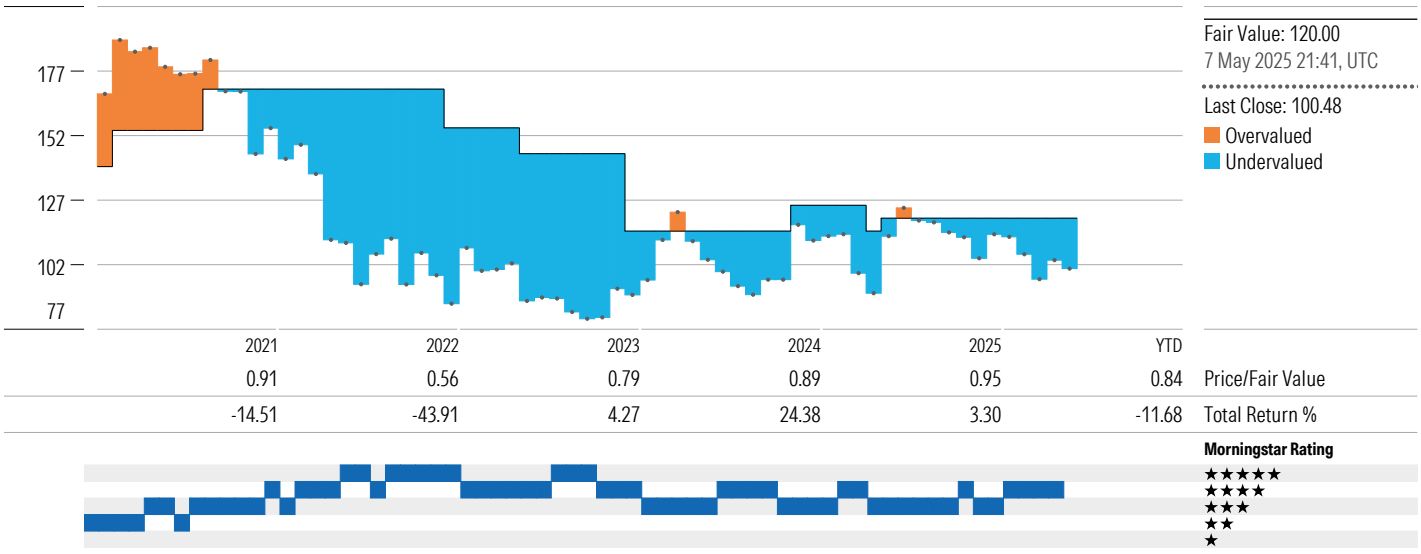
Competitors Price vs. Fair Value

Warner Bros. Discovery Inc Ordinary Shares - Class A WBD



Total Return % as of 05 May 2026. Last Close as of 05 May 2026. Fair Value as of 8 Dec 2025 23:17, UTC.

The Walt Disney Co DIS



Total Return % as of 05 May 2026. Last Close as of 05 May 2026. Fair Value as of 7 May 2025 21:41, UTC.

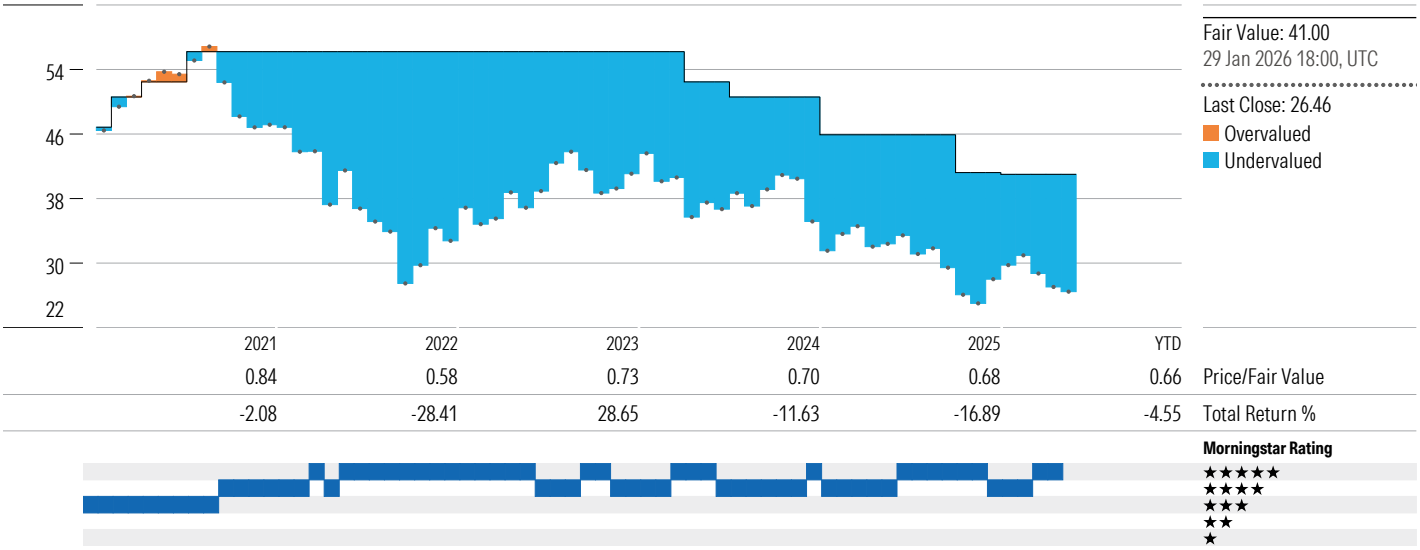
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Competitors Price vs. Fair Value

Comcast Corp Class A CMCSA



	2021	2022	2023	2024	2025	YTD	
	0.84	0.58	0.73	0.70	0.68	0.66	Price/Fair Value
	-2.08	-28.41	28.65	-11.63	-16.89	-4.55	Total Return %

Total Return % as of 05 May 2026. Last Close as of 05 May 2026. Fair Value as of 29 Jan 2026 18:00, UTC.

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Morningstar Valuation Model Summary

Financials as of 16 Apr 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Revenue (USD Mil)	33,723	39,001	45,183	51,625	57,381	63,230	67,554	74,039
Operating Income (USD Mil)	6,954	10,418	13,327	16,269	18,945	21,774	23,622	27,014
EBITDA (USD Mil)	7,311	10,747	13,660	16,762	19,518	22,407	24,298	27,754
Adjusted EBITDA (USD Mil)	8,162	11,514	14,606	17,700	20,318	23,207	25,098	28,554
Net Income (USD Mil)	5,408	8,712	10,981	15,678	16,153	18,532	20,192	22,693
Adjusted Net Income (USD Mil)	5,408	8,712	10,981	15,678	16,153	18,532	20,192	22,693
Free Cash Flow To The Firm (USD Mil)	7,469	6,132	10,476	13,636	13,803	16,137	17,881	19,839
Weighted Average Diluted Shares Outstanding (Mil)	4,495	4,393	4,344	4,300	4,300	4,300	4,300	4,300
Earnings Per Share (Diluted) (USD)	1.20	1.98	2.53	3.65	3.76	4.31	4.70	5.28
Adjusted Earnings Per Share (Diluted) (USD)	1.20	1.98	2.53	3.65	3.76	4.31	4.70	5.28
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

Margins & Returns as of 16 Apr 2026		Actual			Forecast					
	3 Year Avg	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year Avg**
Operating Margin %	25.6	20.6	26.7	29.5	31.5	33.0	34.4	35.0	36.5	34.1
EBITDA Margin %	—	21.7	27.6	30.2	32.5	34.0	35.4	36.0	37.5	—
Adjusted EBITDA Margin %	—	24.2	29.5	32.3	34.3	35.4	36.7	37.2	38.6	36.4
Net Margin %	20.9	16.0	22.3	24.3	30.4	28.2	29.3	29.9	30.7	29.7
Adjusted Net Margin %	20.9	16.0	22.3	24.3	30.4	28.2	29.3	29.9	30.7	29.7
Free Cash Flow To The Firm Margin %	20.3	22.2	15.7	23.2	26.4	24.1	25.5	26.5	26.8	25.9

Growth & Ratios as of 16 Apr 2026		Actual			Forecast					
	3 Year CAGR	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year CAGR**
Revenue Growth %	12.6	6.7	15.7	15.9	14.3	11.2	10.2	6.8	9.6	10.4
Operating Income Growth %	33.3	23.5	49.8	27.9	22.1	16.4	14.9	8.5	14.4	15.2
EBITDA Growth %	32.2	22.5	47.0	27.1	22.7	16.5	14.8	8.4	14.2	15.3
Adjusted EBITDA Growth %	27.3	15.3	41.1	26.9	21.2	14.8	14.2	8.2	13.8	14.4
Earnings Per Share Growth %	36.4	20.9	64.8	27.4	44.3	3.0	14.7	9.0	12.4	15.9
Adjusted Earnings Per Share Growth %	36.4	20.9	64.8	27.5	44.2	3.0	14.7	9.0	12.4	15.9

Valuation as of 16 Apr 2026	Actual			Forecast				
	2023	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Price/Earning	405.7	450.2	37.1	24.1	23.4	20.4	18.7	16.6
Price/Sales	6.3	9.8	8.8	7.2	6.4	5.9	5.5	5.0
Price/Book	106.3	158.3	15.3	8.9	6.5	4.9	3.9	3.2
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	26.9	33.7	27.5	21.0	18.3	16.0	14.8	13.0
EV/EBIT	31.6	37.2	30.1	22.9	19.6	17.1	15.8	13.8
Dividend Yield %	—	—	—	—	—	—	—	—
Dividend Payout %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 16 Apr 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
ROA %	11.1	16.2	19.8	21.9	17.8	16.5	14.9	14.2
ROE %	26.3	35.2	41.3	37.1	27.6	24.1	20.8	18.9
ROIC %	15.9	21.3	25.0	28.0	29.2	30.5	30.2	31.9

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	6.4	3.9	3.5	3.8	4.3	4.5	4.7	4.6
Assets/Equity	2.4	2.2	2.1	1.7	1.6	1.5	1.4	1.3
Net Debt/EBITDA	1.0	0.6	0.4	-0.4	-1.1	-1.6	-2.2	-2.6
Total Debt/EBITDA	1.8	1.4	1.0	0.8	0.9	0.9	0.9	0.9
EBITDA/ Net Interest Expense	10.9	25.5	24.2	-8.0	53.7	49.1	60.7	90.1

Forecast Revisions as of 16 Apr 2026	2026		2027		2028	
Prior data as of 27 Feb 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	80.00	80.08	—	—	—	—
Revenue (USD Mil)	51,625	50,838	57,381	57,222	63,230	62,103
Operating Income (USD Mil)	16,269	16,035	18,945	19,254	21,774	21,457
EBITDA (USD Mil)	17,700	17,344	20,318	20,626	23,207	22,878
Net Income (USD Mil)	15,678	13,528	16,153	16,404	18,532	18,240
Earnings Per Share (Diluted) (USD)	3.65	3.15	3.76	3.81	4.31	4.24
Adjusted Earnings Per Share (Diluted) (USD)	3.65	3.15	3.76	3.81	4.31	4.24
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00

Key Valuation Drivers as of 16 Apr 2026

Cost of Equity %	9.0
Pre-Tax Cost of Debt %	6.3
Weighted Average Cost of Capital %	8.2
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	8.0
Stage II Investment Rate %	12.0
Perpetuity Year	15

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 16 Apr 2026

	USD Mil
Present Value Stage I	126,251
Present Value Stage II	53,976
Present Value Stage III	160,973
Total Firm Value	**341,200**
Cash and Equivalents	9,062
Debt	14,463
Other Adjustments	0
Equity Value	**335,799**
Projected Diluted Shares	4,300
Fair Value per Share (USD)	**80.00**

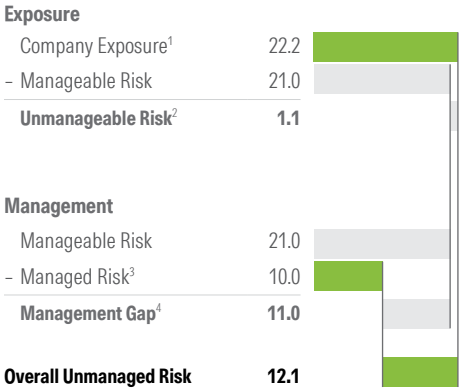
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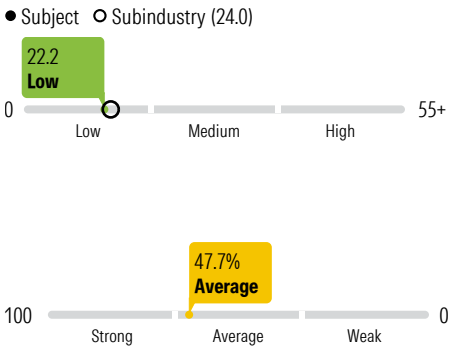
MORNINGSTAR®

Netflix Inc NFLX ★★★ 5 May 2026 22:17, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
87.89 USD 5 May 2026	80.00 USD 28 Feb 2026 01:46, UTC	1.14	370.09 USD Bil 5 May 2026	Narrow	Large Growth	High	Exemplary	5 May 2026 05:00, UTC

ESG Risk Rating Breakdown





- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 47.7% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of May 05, 2026. Highest Controversy Level is as of Apr 08, 2026. Sustainalytics Subindustry: Movies and Entertainment. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 05 May 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Netflix Inc	22.2 | Low	0	55+	47.7 | Average	100	0	12.1 | Low	0	40+
The Walt Disney Co	27.9 | Low	0	55+	60.7 | Strong	100	0	12.0 | Low	0	40+
Comcast Corp	42.7 | Medium	0	55+	57.3 | Strong	100	0	20.9 | Medium	0	40+
Warner Bros. Discovery Inc	26.9 | Low	0	55+	63.7 | Strong	100	0	10.6 | Low	0	40+
—	— | —	0	55+	— | —	100	0	— | —	0	40+

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Appendix

Historical Morningstar Rating

Netflix Inc NFLX 4 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Warner Bros. Discovery Inc Ordinary Shares - Class A WBD 4 May 2026 05:00, UTC

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The Walt Disney Co DIS 4 May 2026 05:00, UTC

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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
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Comcast Corp Class A CMCSA 4 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

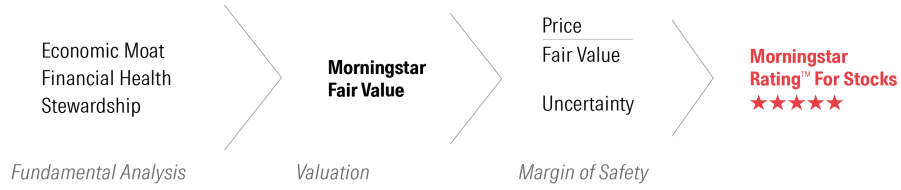
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

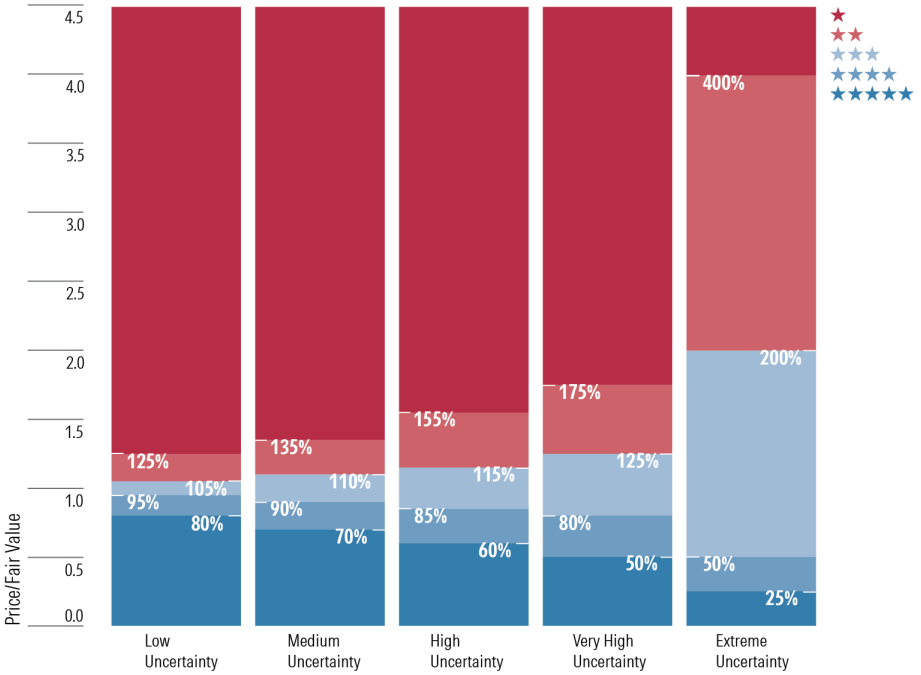
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

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